

NEXT BOTTLENECK

Triggered by the need to de-risk its supply chains during the pandemic and aided by the PLI scheme, Apple aggressively scaled its local operations alongside Foxconn, or Hon Hai Technology Group.

Apple may have relied on Taiwanese contract manufacturers like Foxconn, Pegatron and Wisnet, but its approach stood out for a structured effort to build a local supply chain.

While Samsung relied on its established Korean vendors and Chinese smartphone players on Chinese Original Equipment Manufacturers' domestic suppliers, Apple actively cultivated homegrown Indian companies, integrating Bharat Forge, Hindalco and Wipro PARI to name a few into its core manufacturing ecosystem.

After the PLI scheme for large-scale electronics wrapped up on March 31, 2026, policymakers addressed the next bottleneck: components. The thinking was that if India is to become a global manufacturing powerhouse, it must manufacture high-value components at home rather than rely on imports.

This strategic shift led to the Electronics Components Manufacturing Scheme (ECMS), designed to deepen the supply chain by supporting local production of printed circuit boards, camera modules, connectors, passive components, electromechanical parts, sub-assemblies, and capital equipment.

"The domestic value addition during the PMP (Phased Manufacturing Programme) programme introduced in 2017 was between 9 and 14%, but under ECMS, the target is to achieve between 40 and 50% value addition," Sharma of Bhagwati Products says.



"In FY15, about 80% of the Indian smartphone market was fed with imported products. Domestic tax collection on mobile sales paid for India's entire portfolio of PLI schemes"

PANKAJ MOHINDROO
CHAIRMAN, INDIA
CELLULAR & ELECTRONICS
ASSOCIATION



"When you create an ecosystem, it starts with multiple layers. In electronics, you first start with assembly, then manufacturing, then components and design"

RAHUL SHARMA
CO-FOUNDER, BHAGWATI
PRODUCTS LTD

| 197

BUILDING LOCAL BRANDS

Remember, the smartphone supply chain Apple established in China ultimately enabled domestic players/companies/start-ups to launch their own world-class brands. Through ECMS and MPMS, India is poised to develop a similar foundation to nurture home-grown brands.

The shifting supply chain is encouraging primary component suppliers such as producers of displays, memory devices and camera modules to establish local operations. For companies planning to build proprietary devices, this reduces reliance on foreign suppliers.

The incentives the government has offered and continues to offer aren't just handouts. They are a deliberate countermeasure to India's cost handicap against China.

Even today, standard manufacturers face an 8 to 10% cost disadvantage while the precision engineering demanded by Apple's top-tier devices pushes that deficit to 10 to 13%, a gap the two latest schemes aim to bridge.

With India targeting \$500 billion in annual electronics production by 2030 and setting a longer-term ambition of \$5.3 to \$8 trillion by 2047, the trajectory is clear. Industry executives believe that reaching the 2030 milestone over the coming years will allow India to shed its image as a fallback option to China and establish itself as a primary, globally competitive manufacturing hub.

The ultimate goal extends far beyond smartphones, which may well be replaced by entirely new technological form factors by 2047. **BT**